



A COMMUNITY OF CHOICE

Planning and Development Department

2101 O'Neil Avenue, Suite 202, Cheyenne WY 82001
(Phone) 307-637-6282 (Fax) 307-637-6366

MEMO

To: Honorable Mayor Patrick Collins and Members of the City Council
From: Mark Christensen, Planner II
Subject: Development Agreement between the City of Cheyenne, Swagger Construction, LLC, and Banner Capital Bank for Tax Increment Financing for Hitching Post Plaza
Date: April 20, 2022

Background:

The item for consideration is a **Development Agreement** related to distribution of tax increment financing (TIF) revenue for overages related to remediation, demolition, and cleanup of environmental hazards at a site located at 1600 West Lincolnway and commonly known as the Hitching Post Inn.

The proposed Governing Body review schedule is as follows:

- Introduction and Public Hearing 04/25/2022
- Public Services Committee 05/03/2022
- Second and Final Reading 05/09/2022

Summary:

The attached Development Agreement is between the City of Cheyenne, Swagger Construction, LLC, and Banner Capital Bank for reimbursement of overage costs for environmental remediation and cleanup associated with the redevelopment of the Hitching Post property. Reimbursement will come from the TIF revenue generated by the property. The new approved TIF amount is not to exceed \$1.66 million as the applicant is requesting an additional \$460,000 in TIF assistance. Based on staff projections, the Hitching Post Plaza project is expected to generate a TIF amount between \$2.7 and \$3 million (and potentially up to \$3.7 million) over a 25-year period. The TIF was enabled by the adoption of the Hitching Post Urban Renewal Plan and Project on August 23, 2021.

The Urban Renewal Authority (URA) approved Swagger Construction, LLC's application for the additional TIF on April 7, 2022. City Council approval of the Development Agreement is required due to the Hitching Post Urban Renewal Authority special fund being held by the City. The terms of the agreement stipulate that the applicant will be reimbursed from the URA special fund as revenue is generated from the specific project and the applicant will be responsible for any costs beyond the amount of revenue generated should the TIF increment underperform. The agreement is currently under review by Banner Capital Bank and any changes on their behalf will be discussed at Public Services Committee on May 3, 2022.

Attachments:

1. Development Agreement

DEVELOPMENT AGREEMENT

THIS DEVELOPMENT AGREEMENT (this “**Agreement**”) is executed, delivered, and entered into this ___ day of _____ 2022, by and between the City of Cheyenne, a municipal corporation of the State of Wyoming (“**City**”), **Banner Capital Bank (“Lender”)**, Swagger Construction, LLC (“**Developer**”), and 1600 Hitching Post, LLC (“**Owner**”).

RECITALS:

A. WHEREAS the property legally described as Lot 1, Block 1, P. A. S. Subdivision, First Filing (“**Property**”), owned in fee-simple by Owner, to be known as *Hitching Post Plaza*, is encumbered by unsafe, contaminated, and blighted structures which are a public health and safety hazard (“**Structures**”) as illustrated on **Exhibit A** attached hereto and incorporated herein; and

B. WHEREAS Developer has granted a note to Lender and as further security Developer intends to grant Lender the right to receive any reimbursements that it may be entitled to from the City as contemplated in this Agreement until the balance of the loan is paid in full.

C. WHEREAS Developer is engaged in the business of developing and redeveloping real estate, and in conjunction with the proposed “Hitching Post Plaza” project (“**URA**”), is contracted by Owner to demolish, abate, and remove those certain Structures in conformance with demolition permit(s) approved by the City Building Department, and

D. WHEREAS the Property is within an “urban renewal area” as defined by W.S. § 15-9-103 and as designated, approved, and adopted by the City as the *Hitching Post Urban Renewal Plan and Project Area* pursuant to the Wyoming Urban Renewal Code, W.S. § 15-9-101, et seq. (“**URA Code**”); and

E. WHEREAS the URA Code authorizes the City to engage in various activities as part of an “urban renewal project” as defined in W.S. § 15-9-103, which undertakings and activities may include: (i) acquisition of a slum area or a blighted area or portion thereof; (ii) demolition and removal of buildings and improvements; (iii) installation, construction, or reconstruction of streets, utilities, parks, playgrounds, and other improvements necessary for carrying out in the URA the urban renewal objectives of this Agreement in accordance with the Plan (defined below in Paragraph 4); (iv) disposition of any property acquired in the URA at its fair value for uses in accordance with the Plan; (v) carrying out plans for a program of voluntary or compulsory repair and rehabilitation of buildings or other improvements in accordance with the Plan; and (vi) acquisition of any other real property in the URA if necessary to eliminate unhealthy, unsanitary or unsafe conditions, lessen density, eliminate obsolete or other uses detrimental to the public welfare, or otherwise to remove or prevent the spread of blight or deterioration or to provide land for needed public facilities (collectively, the foregoing permitted urban renewal project undertakings and activities are defined as the “**Statutorily Permitted URA Scope**”); and

F. WHEREAS in relation to the Statutorily Permitted URA Scope, the City has been granted certain powers pursuant to the URA Code, including, but not limited to, the powers listed in W.S. § 15-9-113 and -115 through -118 (the “**Specifically Enumerated URA Powers**”); and

G. WHEREAS Developer proposes to demolish, abate, and remove those certain Structures as part of the implementation of the Plan in the URA, which the scope of work (including but not limited to labor, materials, equipment, transport, disposal fees, and site cleanup and site stabilization) is described and defined on **Exhibit A** attached hereto (the “**Developer Work**”); and

H. WHEREAS Developer Work is in the interest of the health, safety, and welfare of the public and the reimbursement of the cost of the Developer Work and the performance of the City’s obligations under this Agreement are within the Statutorily Permitted URA Scope and the Specifically Enumerated URA Powers, the City has the intent and authority to reimburse the Lender for the Developer Work on the terms provided in this Agreement; and

I. WHEREAS the parties have agreed, in consideration of the foregoing statements, to execute this Agreement subject to and on the terms and conditions set forth herein.

NOW THEREFORE, in consideration of the mutual promises contained herein and for other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, the Parties agree as follows:

Recitals Incorporated. The foregoing recitals are incorporated herein by reference into this Agreement as though set forth at length.

List of Exhibits:

- A. Exhibit A - Structures/Phases/Property
- B. Exhibit B - Developer Work and Estimated Costs
- C. URA/TIF Term Sheet
- D. Use of Funds
- E. Overage Request

Terms: The Parties agree as follows:

1. Performance of Developer Work. Subject to the terms and conditions contained herein, the Developer shall complete Developer Work on a phase-by-phase basis and as described in **Exhibit B**.

2. Approvals. It shall be the obligation of the Developer, its contractors, subcontractors, employees, and its successors and/or assigns to obtain any local, county, state and federal governmental permits, and approvals necessary to undertake and perform Developer Work, as generally described on the Plan (as defined below in Paragraph 4) and otherwise; including, but not limited to, (i) an individual grading, demolition, building, planning or other permit for each Structure to be removed and for which such permit is required; (ii) the posting of a performance guaranty and inspection escrow associated with demolition, grading, and any other applicable work as may be required by any governmental authority; (iii) local, county, and state sanitary sewer approvals as may be required under applicable law; (iv) local, county, and state water approvals as may be required under applicable law; and/or (v) any state or federally required environmental permits, inspections, or coordination. This Agreement shall not be construed to grant or endorse any such governmental approvals.

3. **Plans.** In addition to Paragraph 2 above, Developer has caused to be prepared, and will continue to prepare, any and all engineering construction, demolition, or development plans and specifications necessary to implement the Developer Work (collectively the “Plan”). Once approved by the relevant governmental authorities, the Plan, as it is approved and modified with the required approvals, shall thereafter be incorporated into and made a part of this Agreement by reference. The Developer shall construct the Developer Work in accordance with the Plan as approved and described in this Agreement. This Agreement shall not be construed to grant, endorse, or approve the Plan.

4. **Standard of Work, Maintenance, and Repair.** Developer will, in accordance with Owner, contract for Developer Work, protect, maintain, repair, and/or replace those portions of the Property to remain (including but not limited to above and below-ground utilities (private or public utility service lines (if remaining), private or public utility transmission mains and fixtures, certain fixed property, and any certain plant materials or other items specified to remain). Any Developer Work requiring replacement or remediation shall be installed in compliance and conformance with the Plan as approved by the City. Developer Work shall be installed in a good and workmanlike fashion, in a manner acceptable to the City, and in conformance with any applicable local, county, state and federal laws, statutes, ordinances, regulations, and standards.

5. **Indemnity.** The Owner, Developer, its contractors, subcontractors, employees, and its successors or assigns, agree to indemnify and hold the City, its elected officials, employees, professionals, agents, servants, successors and assigns, harmless from and against, any and all claims, actions, liability, and expenses in connection with injury or loss of life to person or damage to property arising from the Developer’s performance of its obligations under this Agreement; provided that such indemnification shall not apply to the negligence or intentional misconduct of the City, its agents, servants, contractors, employees or representatives.

6. **Phasing.** Developer intends to execute the Developer Work as specified herein over a period of no more that eighteen (18) months, in a continuous and uninterrupted fashion. The order of the Developer Work is divided into four (4) distinct sections, each of which is shown on Exhibit A and hereinafter referred to as a “**Phase.**” Subject to the Owner and Developer’s obligation to obtain the necessary governmental approvals, the Developer shall have the right to determine (i) the location of each Phase; (ii) the boundaries of each Phase; (iii) the order in which the various Phases will be developed; and (iv) the time at which the construction and installation of the Developer Work in a particular Phase will commence. Developer Work shall proceed in as timely a manner as practicable; the eighteen (18) month estimated timeline is not to be construed as a deadline, is not obligatory, and is based on the information, estimates, and availabilities to-date. No penalty whatsoever is to be incurred if Developer Work is not completed within the estimated timeline or due to Unavoidable Delays. Unavoidable Delays shall mean delays resulting from acts or occurrences outside the reasonable control of the party claiming the delay including but not limited to pandemics, storms, floods, fires, explosions, or other casualty losses, unusual weather conditions, strikes, boycotts, lockouts, or other labor disputes, litigation commenced by third parties, acts of any federal, state, or local governmental unit, COVID-19 driven supply chain disruptions and material shortages, or acts beyond the reasonable control of Owner and/or Developer.

7. **Completion.** Notwithstanding the foregoing or any other provision herein, “Completion” of Developer Work includes the removal of all Structures and is furthermore defined as full City acceptance and closure of open demolition permits on the Structures as determined by the City of Cheyenne Chief Building Official (“CBO”) on a Phase-by-Phase basis. This typically includes all necessary remediation, reconstruction, site stabilization, and removal of waste and construction materials. Upon Completion of each Phase, Owner and/or Developer shall be returned any and all security deposit(s) previously paid on the permit application(s). In the event that the all Phases of the Developer Work is not completed within twenty-four (24) months of the date of this Agreement, then any portion of the Developer Work not completed by that date may not be eligible for reimbursement unless otherwise agreed in writing by all parties hereto.

8. **Bonding and Acceptance.** The Developer may post bonds, performance guaranties and/or security required for the Developer Work pursuant to all applicable law. Any required bonds, performance guaranties and security shall be posted prior to the commencement of Developer Work in any Phase. Developer reserves the right to post said instruments on the entirety of the project or as appropriate by Phase. Promptly after the completion of the Developer Work as bonded, the CBO will perform a final inspection, and subject to the limitations and requirements of applicable law and this Agreement, the performance guaranties and security shall be released, including any and all security deposit(s) previously paid on the permit application(s) as otherwise noted herein.

9. **Reimbursement.**

- A. The price or prices stated in the Plan and Developer Work are based on estimated quantities of materials requiring disposal, fees for said disposal, prices for component materials, labor rates applicable to the Developer Work, in effect as of the date of this Agreement are estimates. If, at any time prior to the completion of performance of the Developer Work to be performed pursuant to the Plan, any of such material prices, labor rates, freight rates, or other Developer Work rates may be increased or decreased, based on actual values or quantities; and in respect to any of the Developer Work performed hereunder there shall be a corresponding increase or decrease in the prices stated in the Plan, but shall not exceed a total of Tax Increment allocation of \$1.66 million.
- B. Developer grants, conveys, and assigns to Lender the right to receive all reimbursements from the City for the actual and reasonable costs incurred for Developer Work, reimbursement shall occur from the actual tax increment allocation generated by the property, as additional security for the loan granted from Lender to Developer. Lender’s right to receive reimbursement from the City shall continue until the balance of the loan is paid in full or otherwise agreed to in writing and signed by Developer, and Lender, and delivered to the City.
- C. Upon Completion and Acceptance of Developer Work on each Phase, and when sufficient Tax Increment has been collected, Lender is entitled to receive reimbursement in full, from the City, of the actual and reasonable costs incurred for Developer Work on the completed Phase. Said costs, and the value of reimbursement, requires written submittal by Developer of verified, third-party substantiated, record(s) of costs and expenses. Following Completion of each Phase

and Acceptance, Developer shall, within ninety (90) upon completion of each Phase of Developer Work, submit a written reimbursement request to City along with all said verified record(s) (the “**Request**”).

- D. City shall have thirty (30) days to respond to Owner’s and/or Developer’s Request in writing indicating either (i) acceptance in full of the Request; (ii) dispute of the Request in whole or in part; or (iii) ask for further information to substantiate or verify the cost(s) in the Request. Any City response other than full acceptance of the Request shall include a timeline for Developer to respond, being no less than fifteen (15) days following the date of the City’s response.
- E. Following acceptance of the substantiated Request, City shall provide payment of reimbursement within forty-five (45) days of written acceptance. Notwithstanding any other provision in this Agreement to the contrary, (i) the City’s obligation to reimburse Lender pursuant to this Section is limited as defined in the Term Sheet attached hereto and incorporated herein in its entirety; and (ii) the City’s reimbursement and payment obligations under the terms of this Agreement are specifically not a general obligation of the City and are only payable from the net proceeds (net of the City’s expenses) special fund actually received by the City generated by the Property, which special fund is comprised of the portion of taxes payable to the City pursuant to W.S. § 15-9-120 of the URA Code, and **Owner**, Developer, and Lender waive any right to claim any payment from the City pursuant to this Agreement except to the extent of net revenues actually received in such special fund. Any reimbursement shall not exceed the balance of the special fund account at the time of request.
- F. BY THEIR SIGNATURE AFFIXED HERETO, OWNER, DEVELOPER, AND LENDER ACKNOWLEDGE AND AGREE THAT NOTWITHSTANDING ANY OTHER PROVISION IN THIS AGREEMENT, THE OBLIGATIONS OF THE CITY UNDER THIS AGREEMENT ARE LIMITED SOLELY TO THE NET PROCEEDS (NET OF THE CITY’S EXPENSES) SPECIAL FUND ACTUALLY RECEIVED BY THE CITY, WHICH SPECIAL FUND IS COMPRISED OF THE PORTION OF TAXES PAYABLE TO THE CITY PURSUANT TO W.S. § 15-9-120 OF THE URA CODE, AND THE OBLIGATIONS OF THE CITY HEREUNDER ARE NOT A GENERAL OBLIGATION OF THE CITY AND THE OWNER, DEVELOPER, AND LENDER MAY NOT INSTITUTE A SUIT AGAINST THE CITY TO RECOVER AMOUNTS DUE TO DEVELOPER, OWNER OR LENDER FROM ANY OTHER SOURCE OTHER THAN THE FOREGOING SPECIAL FUND UNDER THE URA CODE.
- G. “Soft Costs” are eligible for reimbursement, including, but not limited to, Administrative Costs, Permit and Application Fees and any other “hidden fee(s)” which are not substantiated by an invoice or verified expense of funds. Disposal/dump fees for disposal of Structures demolition waste are eligible for reimbursement. Loan interest is also eligible for reimbursement.
- H. To the extent that the Developer receives reimbursement from any third party that is not affiliated with the Owner or Developer or City, then such reimbursement

shall be deemed to reduce the maximum reimbursement available pursuant to this Agreement. The obligations of the City to make reimbursements pursuant to this Section shall adhere to the Term Sheet attached hereto and incorporated herein in its entirety. Notwithstanding the provisions of this Section, the City's obligation to make any reimbursement payment under this Agreement shall be subject to satisfaction of the following conditions precedent:

- i. The Owner and Developer shall be in material compliance with all the terms and provisions of this Agreement at the time of reimbursement; and
 - ii. The Developer Work shall be completed and fully assessed, and a certificate shall have been issued for the completion.
- I. The Request for reimbursement shall include all supporting materials and details as may be required by the City to substantiate the reimbursement and to comply with the URA Code. Prior to the City having any obligation to make a reimbursement pursuant to this Section, the City shall have a reasonable opportunity to inspect and approve any and all Developer Work. Owner and Developer agree that they shall permit designated representatives of City, upon reasonable notice to Developer, to enter upon the Property during construction of the Developer Work to inspect such construction and progress thereof.

10. Potential Additional Construction Obligations. Due to the nature of Developer Work under this Agreement, no construction is anticipated or proposed. The parties acknowledge that the Developer Work described in the Plan does not provide any infrastructure and that development of the Property specifically, and the URA generally may be constrained due to limitations imposed by applicable environmental or other laws, statutes, rules, regulations, ordinances or other physical conditions or entitlements or lack thereof.

11. Recordation. This Agreement shall be recorded in the office of the City Clerk of the City of Cheyenne; any cost of said recordation or filing shall be at the expense of the Owner.

12. Representations and Warranties of Owner. Owner hereby represents and warrants to the City that it is a Wyoming limited liability company duly organized, in good standing, and authorized to do business in the State of Wyoming. Owner is authorized to execute and deliver this Agreement to perform its obligations hereunder, which actions do not require the consent or approval of any third party, except as otherwise specified herein.

13. Representations and Warranties of Developer. Developer hereby represents and warrants to the City that it is a Wyoming limited liability company duly organized, in good standing, and authorized to do business in the State of Wyoming. Further, Developer is in the construction and real estate development business and possesses the requisite experience and expertise to complete the Developer Work in accordance with the terms of this Agreement. Developer is authorized to execute and deliver this Agreement to perform its obligations hereunder, which actions do not require the consent or approval of any third party, except as otherwise specified herein.

14. Insurance and Waiver of Subrogation. During the term of this Agreement, the Developer shall maintain comprehensive general liability insurance coverage (which shall include

worker's compensation coverage in statutory amounts) in amounts of no less than \$3,000,000 per incident and \$1,000,00 per occurrence. Such coverage shall name the City as an additional insured and shall be with companies reasonably acceptable to the City. All policies shall be in a form reasonably acceptable to the City. Prior to the commencement of the Developer Work, the Developer shall provide the City with a copy of a paid policy or a certificate issued by the insurer certifying the existence of the coverage described herein. All insurance policies shall include a provision requiring a minimum of thirty (30) days written notice to the City for cancellation and non-renewal. To the extent that any loss or claim results from the performance of any parties' performance of their obligations hereunder and is covered by insurance then the parties waive their respective rights of subrogation as against each other.

15. Governmental Immunity. The City, along with its officials and employees, does not waive its governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City specifically retains all immunities and defenses available to it as a sovereign or governmental entity pursuant to W.S. § 1-39-101, *et seq.*, and all other relevant state and federal law. Designations of venue, choice of law, enforcement actions, and similar provisions should not be constructed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

16. Relationship of Parties. Nothing contained in this Agreement shall be deemed or construed, either by the parties hereto or by any third party, to create the relationship of principal and agent or create any partnership, joint venture, or other association between the City and the Owner, Developer, or Lender.

17. Default.

- A. In the event that any party fails to perform its duties and obligations under this Agreement after ten (10) days written notice (provided that if the failure to perform is of such nature that it cannot reasonably be cured in ten (10) days, then there shall be no default so long as the party is making a diligent and good faith effort to correct the deficiency) then there shall be an event of default and the aggrieved party shall have any and all rights to which it is entitled at law or in equity, including the right to seek immediate injunctive relief in a court of competent jurisdiction notwithstanding the provisions set forth above.
- B. Whenever an event of default of this Agreement occurs and is continuing after proper notice and the period to cure has lapsed, as described above, the City, as specified below, may take any one or more of the following actions after:
 - i. The City may suspend its performance under this Agreement until it receives assurances from the defaulting party or parties, deemed adequate by the City, that the defaulting party or parties will cure its default and continue its performance under this Agreement;
 - ii. The City may terminate this Agreement;

- iii. The City may withhold the certificate of completion;
 - iv. The City shall have no obligation thereafter to make any payments for the Developer Work;
 - v. The City shall be entitled to recover from the defaulting party or parties, taking any action, including legal action, it deems necessary to recover, and Developer shall repay to the City, an amount equal to the full amount of any payments for the Developer Work previously made to Lender, with interest thereon at the highest rate permitted by State law; and
 - vi. The City may take any action, including legal, equitable, or administrative action, which may appear necessary or desirable to enforce performance and observance of any obligation, agreement, or covenant of the Owner and/or Developer, as the case may be, under this Agreement.
- C. In addition to the foregoing in the event any patent or latent defect in the Developer Work is discovered by City, City shall have the right to offset the cost to cure such defect against any amount otherwise reimbursable under this Agreement.
- D. No remedy herein conferred upon or reserved to the City is intended to be exclusive of any other available remedy or remedies, but each and every remedy shall be cumulative and shall be in addition to every other remedy given under this Agreement or now or hereafter existing at law or in equity or by statute.
- E. No delay or omission to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver thereof, but any such right and power may be exercised from time to time and as often as may be deemed expedient.

18. Replat of Property – Owner intends to replat the Property and may subdivide the property into one or more tracts or lots to accommodate various commercial, and office uses in accordance with Resolution No. 6167, adopted August 23, 2021, as it may be amended. The replat may separate the current property into one or more lots or tracts. It being the intent for the individual lots or tracts to be sold to appropriate third parties to develop commercial improvements.

19. Assignment by Owner. Once the Property is replatted, the Owner shall have the right to assign its rights, duties, and obligations under this Agreement to a single entity that owns all or a portion of the Property, as it may be described in a replat, with the City's and Lender's written consent which shall not be unreasonably withheld, conditioned or denied. The obligations of the Owner hereunder shall be binding on all successors and assigns and shall run with the land.

20. Assignment by Developer. The Developer shall have the right to assign its rights, duties, and obligations under this Agreement, in whole or in part, to a single entity with similar areas of expertise and experience, with the City's and Lender's written consent which shall not be unreasonably withheld, conditioned or denied. In the event of such assignment, the succeeding

developer must post a substitute performance guaranty or security in a form acceptable to the City. The obligations of the Developer hereunder shall be binding on all successors and assigns and shall run with the land.

21. Term. The term of this Agreement shall commence upon its execution and shall continue until the earlier of (i) the maximum term for completion of the Developer Work as set forth above; (ii) the date on which the Lender or in the total aggregate between the Lender and Owner, in accordance with Section 9(b), have received reimbursement in the maximum amount set forth herein; or (iii) a period of twenty-five (25) years after the date and year this Agreement has been executed by all parties or the maximum duration of the TIF until such time the Developer Work has been reimbursed, whichever is longer, at which point this Agreement will expire.

22. Retroactive Effect. Once fully executed, this Agreement shall be deemed effective between the Parties from the date the Developer began Development Work on the Property. Specifically, the Developer shall be able to submit include costs for work already performed and materials already used in Development Work on any reimbursement Request submitted to the City, as described in Section 9.

23. Governing Law. The terms and conditions of this Agreement shall be governed and construed in accordance with the laws of the State of Wyoming.

24. Counterparts. This Agreement may be executed in multiple counterparts, each of which shall be deemed an original, but all of which, together, shall constitute one and the same instrument.

25. Applicable Law. This Agreement shall be governed by and construed and enforced in accordance with the laws of the State of Wyoming.

26. Entire Agreement. This Agreement (including the Exhibits attached hereto) contains the entire agreement between the parties with respect to the subject matter hereof and supersedes all prior and contemporaneous representations, statements, understandings, negotiations and agreements, oral or written, between the parties, if any, with respect thereto.

27. Headings. The article headings contained in this Agreement are for reference only and for the convenience of the parties. They shall not be deemed to constitute a part of this Agreement nor shall they alter, modify or supersede the contents of any of the provisions themselves.

28. Severability. If any of the provisions of this Agreement are deemed invalid, void or illegal, then the provisions so affected shall be deleted from this Agreement. All remaining provisions shall remain in full force and effect.

29. Further Assurances. City, Lender, Developer, and Owner agree that each will take any and all action including but not limited to the execution of any documentation which may be necessary to effectuate the intent of the parties as set forth in this Agreement.

SEE FOLLOWING PAGES FOR SIGNATURES AND ACKNOWLEDGMENTS

IN WITNESS WHEREOF, the parties have executed this Agreement on the day and year first above written.

CITY:

City of Cheyenne, a Municipal Corporation

By: Mayor Patrick Collins

ATTEST

Kristina F. Jones

DEVELOPER:

Swagger Construction, LLC, a Wyoming Limited Liability Corporation

By: Robert Chamberlin as Managing Member

OWNER:

1600 Hitching Post, LLC, a Wyoming Limited Liability Corporation

By: Robert Chamberlin as Managing Member

LENDER:

By: Banner Capitol Bank

ACKNOWLEDGMENTS

State of Wyoming)
) ss.
County of Laramie)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared Robert Chamberlin, with whom I am personally acquainted, and who, upon oath, acknowledged that he is the Managing Member of Swagger Construction, LLC and that he executed the foregoing instrument for the purposes therein contained, by signing his name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this ____ day of _____, 20__.

Notary Public, Laramie County, Wyoming

My commission expires: _____

* * * * *

State of Wyoming)
) ss.
County of Laramie)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared Robert Chamberlin, with whom I am personally acquainted, and who, upon oath, acknowledged that he is the Managing Member of 1600 Hitching Post, LLC, and that he executed the foregoing instrument for the purposes therein contained, by signing his name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this ____ day of _____, 20__.

Notary Public, Laramie County, Wyoming

My commission expires: _____

Notary and signature block continues on the next page.

State of Wyoming)
) ss.
County of Laramie)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared _____, with whom I am personally acquainted, and who, upon oath, acknowledged that (s)he is the _____ of Banner Capitol Bank, and that (s)he executed the foregoing instrument for the purposes therein contained, by signing their name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this ____ day of _____, 20__.

Notary Public, Laramie County, Wyoming

My commission expires: _____

State of Wyoming)
) ss.
County of Laramie)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared Patrick Collins, with whom I am personally acquainted, and who, upon oath, acknowledged that (s)he is the Mayor of the City of Cheyenne, and that (s)he executed the foregoing instrument for the purposes therein contained, by signing their name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this ____ day of _____, 20__.

Notary Public, Laramie County, Wyoming

My commission expires: _____

EXHIBIT A - STRUCTURES



EXHIBIT B

HITCHING POST DEMOLITION DEVELOPER WORK AND ESTIMATED COSTS

I. SCOPE OF WORK

- A. GENERAL:** Developer shall furnish and provide all labor, materials, tools, equipment and machinery, unless otherwise specified, necessary to perform and complete, in a good and workmanlike manner, the work outlined in this document. **The easterly approximately seventy feet (70') of the property is not part of the project scope; all structures, utilities, curbs, sidewalks, etc. in the easterly seventy feet of the property are to remain as-is.**
- B. SCOPE OF WORK :** Developer shall perform the following in connection with this contract:
- (a) Abatement of all contaminated and Asbestos Containing Materials (ACM) on the property as required by WDEQ.
 - (b) Demolition of all structures on the property as shown in Attachment A.
 - (c) Demolition/removal of all freestanding enclosures and walls, concrete curb and gutter, sidewalks and patios on the property (adjacent to the buildings)
 - (d) Remove all foundation walls to a point at least four feet (4') below finished floor elevation.
 - (e) Removal of all trash, demolition material and debris.
 - (f) Protection of existing trees, public sidewalks, signs, utilities and other items that are to remain on and adjacent to the site.
 - a. It is understood that some trees will necessarily be removed. Developer shall provide a per-unit cost for:
 - i. removal of tree less than twenty feet (20') tall; and
 - ii. removal of tree greater than twenty feet (20') tall.
 - b. City of Cheyenne Board of Public Utilities Sanitary Sewer and Domestic Water Mains and those Black Hills Energy Underground and Overhead Electrical Lines falling within seventy feet (70') from the easterly property line (as shown on "HitchingPost_TOPO SURVEY May2017.pdf") are to remain.
 - (g) Obtain all required permits and payment of all applicable fees (unless otherwise specified herein).
 - (h) Verify all utilities service lines, prior to demolition, have been disconnected.
 - (i) Developer shall provide project perimeter fencing to delineate project boundaries and protect inadvertent entry to site. Developer may elect to provide additional security and/or security fencing as required by City or Developer's specific needs. Developer shall be responsible for all costs associated with fencing and/or security needs.
 - (j) Developer shall maintain access to, and from, adjacent properties as required.

C. DEMOLITION

- (a) Demolition shall be conducted in a timely manner.
- (b) All demolished materials become the property of the Developer, unless otherwise indicated herein, or otherwise negotiated, and shall be promptly removed from the site.
- (c) The Developer shall remove all equipment, machinery, trade or other fixtures remaining in the building.
- (d) All damage incurred in the demolition operation to structures, walks, paving or other property to remain shall be the responsibility of the Developer; he shall pay all costs resulting from such damage.
- (e) The demolition shall be conducted in strict accordance with all laws, ordinances and codes having jurisdiction.
- (f) The Developer shall review reports provided by the Owner in regards to asbestos and lead-based materials contained within the structures and remove and dispose of such material in accordance with federal, state, and local laws.
- (g) All existing utilities disconnects will be completed to the standards and requirement of the City of Cheyenne and/or franchised utilities providers, as applicable. Developer shall verify disconnect prior to start of demolition; with the exception of service line to remain for project facilitation.
- (h) Developer shall be responsible for the removal and proper disposal of all materials and shall provide the City with landfill receipts prior to release of payment. Debris to be delivered to qualified landfill in accordance with state and local codes and ordinances. All loads shall be covered and secured prior to and during transport. The Developer relieves the Owner of all liability in the disposal of debris. The Developer is responsible for all fees and permits, if applicable, except as explicitly provided for herein.
- (i) During demolition operations, the Developer shall keep the work wetted down to prevent dust and dirt rising.

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SEE FOLLOWING PAGE(S) FOR COST ESTIMATES BY PHASE

II. ESTIMATED COST - \$1,201,308

A. Phase I/II (Buildings 3 & 4): 45 working days

Demolition - \$83,308

ACM labor - \$96,000

Air Monitoring - \$19,200

Transportation/Trucking - \$69,120 (91 loads / 1,638 CY)

Material to Line Trucks - \$13,650

Water Source - \$8,000

Estimated Phase I SubTotal: \$289, 278

Foundation - \$6,000

10% Contingency - \$28,928

Estimated waste & disposal costs:

ACM -2500 cy- 72 boxes - \$60,000.00

Estimated Phase I/II Total: \$384,206

B. Phase III (Building 5): 45 working days

Demolition - \$109,519

ACM labor - \$135,000

Air Monitoring - \$27,200

Transportation/Trucking - \$93,600 (93 loads / 1,674 CY)

Material to Line Trucks - \$13,950

Water Source - \$11,200

Estimated Phase I SubTotal: \$390,269

Foundation - \$3,500

10% Contingency - \$39,027

Estimated waste & disposal costs:

ACM -1800 cy- 50 boxes - \$36,000

Estimated Phase III Total: \$468,796

C. Phase IV (Buildings 1 & 2): 32 working days

Demolition - \$66,709

ACM labor - \$96,000

Air Monitoring - \$19,200

Transportation/Trucking - \$69,120 (75 loads / 1,350 CY)

Material to Line Trucks - \$11,250

Water Source - \$8,000

Estimated Phase III SubTotal: \$270,279

Foundation - \$3,000

10% Contingency - \$39,027

Estimated waste & disposal costs:

ACM -1800 cy- 50 boxes - \$36,000

Estimated Phase IV Total: \$348,306

EXHIBIT C

TERM SHEET

HITCHING POST URA DEMOLITION APPLICATION AND AGREEMENT

Swagger Construction, LLC Agrees To:

- Obtain \$1.66 million in debt to cover demolition and abatement costs
- Demolish and abate environmental contamination at the subject property
- Remove demolished building materials and environmental contamination at the City of Cheyenne landfill
- Plat and rezone the subject property as necessary
- Be held responsible for abatement and demolition costs in excess of \$1.66 million, unless otherwise agreed in writing by the parties. Should the increment generated by the subject property not reach the \$1.66 million threshold, the developer assumes responsibility for the costs that exceed the value of the increment

City of Cheyenne Agrees To:

- Reimburse Swagger Construction, LLC the tax increment generated by the subject property to cover demolition and abatement costs up to \$1.66 million. The reimbursement will occur as the tax increment is collected by the County, transmitted to the City, and allocated to the Hitching Post Urban Renewal Plan fiduciary fund.
- In the event that the increment generated by the subject property does not reach the \$1.66 million dollar threshold, the City will reimburse the total amount of the increment generated by the subject property.

D. Use of Funds

TIF Loan Amount: \$1,200,000

<u>Use of Funds</u>		<u>Funds Remaining</u>
3-Year Interest Reserve:	\$83,700	\$1,116,300
Loan Origination Fee:	\$6,000	\$1,110,300
Estimated Closing Costs:	\$500	\$1,109,800
Estimated Lender's Legal Fees:	\$10,000	\$1,099,800
Estimated Phase I/II Total Costs:	\$384,206	\$715,594
Estimated Phase III Total Costs:	\$468,796	\$246,798
Estimated Phase IV Total Costs:	\$348,306	\$(101,508)

Note: The deficit amount would have to be paid out of cash by the developer or held for a second round TIF financing loan.

E. Overage Request

Hitching Post Plaza Demo/Asbestos Abatement Overage

1600 W Lincolnway, Cheyenne WY				
CH Solutions	Disposal of concrete foundations	\$ 125,000.00		
NG Companies	Equipment and labor	\$ 150,000.00		
Cheyenne Landfill	Disposal of demo debris	\$ 120,000.00		
Carlyle Group	Asbestos labor/material	\$ 50,000.00		
BOPU	Water and hydrate meter	\$ 1,500.00		
Swagger Construction	SWIPP material and install	\$ 5,000.00		
Sunrise Engineering	Continues engineering for demo	\$ 10,000.00		
		\$ 461,500.00		